



AXIS BANK LIMITED

NSE: AXISBANK · BSE: 532215 · Nifty 50 & Sensex constituent

MY VIEW

May 2026

The cheapest of the big four — and priced for a margin recovery it has not yet delivered

India | Financials | Private Sector Banks · My view: I think fair value is around ₹1,360

Personal portfolio notes | May 2026

Price (May 2026)	Market cap	52-week range
₹1,225	₹3.83 lakh cr	₹1,043 – ₹1,418

Prices as of May 2026 (NSE close ₹1,225; market cap ₹3,81,045–3,82,542 cr per Screener.in).

INVESTMENT SUMMARY

Axis Bank is India's third-largest private sector bank: ₹19.5 trillion of assets, ₹13.3 trillion of deposits, 6,295 branches, 54 million customers and roughly a 5% share of system deposits and 5.5% of system advances. It makes money in two ways — a lending spread on a ₹12.6 trillion loan book, and a large, capital-light fee and subsidiary business spanning cards, UPI acquiring, wealth management, asset management and broking.

My view is a qualified positive. The operating trough is behind the bank: net interest margin bottomed at 3.46% in Q1 FY27, credit cost more than halved year on year to 0.63%, and the cost-to-assets ratio is falling. Book value compounds in the mid-teens without any need for equity capital, with CET1 at 14.64%. But I do not think this is a cheap stock in the strict sense — it is a fairly-priced stock whose price contains an option on a margin recovery management has promised and not yet shown. I put my own fair value at ₹1,360, deliberately below the ₹1,500–₹1,663 street range, for reasons I set out in the valuation section.

MY VIEW

Axis at 1.72x book and 11.8x FY27E earnings is the cheapest of India's four large private banks — but the discount is largely earned, not anomalous. Its 13.1% FY26 return on equity genuinely sits below ICICI Bank's. The investment case is not "buy a great franchise at a discount"; it is "buy a good franchise priced as though it will stay mediocre, when the three levers that fix it are all moving in the right direction."

The return here comes mostly from book compounding at ~14.5% a year, not from a re-rating. I size the position accordingly.

Five things that matter

- **Margins have bottomed and management has said so.** NIM fell 34bp year on year and 16bp sequentially to 3.46% in Q1 FY27 as repo-linked loans repriced faster than deposits. That repricing is now complete. Cost of deposits has already turned, falling 35bp year on year. Management reiterated a structural 3.8% NIM target over 12–15 months. Each 10bp of margin on the current asset base is worth roughly ₹1,950 crore of pre-tax income.
- **The real moat is in the payment rails, not the deposit base.** Axis holds roughly 38% of UPI payer-PSP volume with the lowest technical decline rate in the system (0.01%), is the fourth-largest card issuer with 13.4% of cards in force, and has over 12 million non-customers using its mobile app. This is an engineering asset accumulated over years that capital alone cannot buy. Its deposit franchise, by contrast, is the weakest link — 37% CASA and a 92% credit-deposit ratio.
- **Costs are the lever management controls directly.** Cost-to-assets improved 21bp year on year to 2.20%, guided lower over 18–24 months. Technology is now ~11% of operating expenses, and the AXIOM AI programme processed 34 million documents and 1.05 million account onboardings in a single quarter. A 20bp structural cost advantage is worth about as much as 20bp of NIM and does not require winning a deposit price war.

- **The sector backdrop is the best it has been in three years.** System credit growth is expected around 15% in FY27 against nominal GDP of roughly 11.5%; the RBI has held the repo rate at 5.25% across three meetings; CRR sits at 3.00% after a 100bp cut; and an estimated US\$50 billion of FCNR(B) inflows by September 2026 should ease the funding squeeze that has capped loan growth across the system.
- **What would make me wrong.** If NIM does not recover past 3.6% through FY27, my FY28 earnings fall roughly 10% and the stock is worth closer to ₹1,050. Corporate lending grew 38% year on year at thin spreads while retail grew 8% — a mix shift that flatters volume and hurts margin. Foreign ownership has fallen from 53.8% in March 2024 to 39.9% in June 2026, and that selling has not obviously finished.

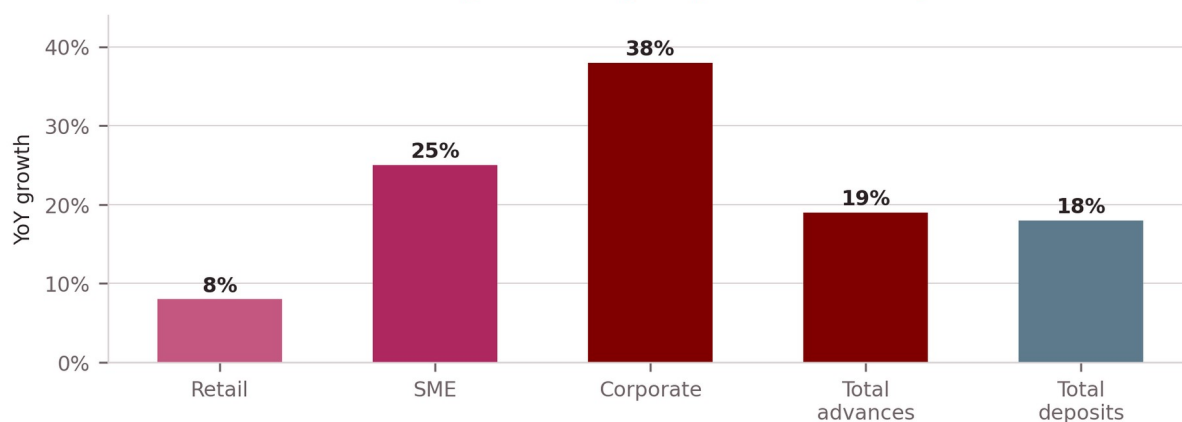
WHAT AXIS BANK ACTUALLY DOES

Strip away the branding and a bank is a maturity-transformation machine with a licence. Axis raises ₹13.3 trillion of deposits at an average cost of 4.75% and deploys ₹12.6 trillion of advances plus ₹4.5 trillion of investments at a higher yield, capturing a net interest margin of 3.46%. That spread produced roughly two-thirds of revenue in FY26. The other third — ₹29,674 crore of other income — comes from fees, and it is the part of the business that requires almost no incremental capital.

Four engines, growing at very different speeds

- **Retail banking — 54% of advances, a ₹6.8 trillion book.** Home loans are 26% of it, rural loans 17%, loan-against-property 13%; 73% of the book is secured. It grew 8% year on year, the slowest of the four engines, reflecting both a deliberate retreat from unsecured lending after the FY25–FY26 stress cycle and genuine competitive pressure in mortgages.
- **Corporate and commercial banking — up 38% year on year.** This is where growth came from, and the quality is defensible: 91% of the corporate book is rated A– or better, 69% is AA– and above, and 87% of incremental sanctions in the quarter went to A–and-above borrowers. The overseas book grew 110% but is 84% India-linked and 98% rated A– or above. The catch is price — highly-rated corporate paper is thin-margin business.
- **Focus segments — SME, Small Business Banking and mid-corporate.** Now 24% of total loans, growing 18%. The SBB book alone is ₹79,468 crore, up 18%, with 72% of value in secured products. This is the strategically important engine: it carries retail-like yields with corporate-like ticket sizes, and it is where the branch network earns its keep.
- **Fees and subsidiaries — small in profit, large in franchise value.** Fee income of ₹6,156 crore in Q1 FY27 was 90% granular. The domestic subsidiaries — Axis Finance (AUM ₹51,592 crore), Axis AMC (₹3.69 trillion quarterly average AUM), Axis Capital, Axis Securities (7.19 million customers) and the Burgundy wealth franchise — contributed ₹546 crore of profit in the quarter, up 21%, on a return on investment of roughly 41%.

Exhibit 2: Growth is being carried by corporate and SME, not retail



Source: Axis Bank Q1 FY27 investor presentation (18 Jul 2026); my own analysis. Data as of 30 Jun 2026.

The one number that frames everything else

Advances grew 19% and deposits 18%, leaving the credit-deposit ratio at 92%. That is the constraint the whole equity story runs into. A bank at 92% CD cannot grow loans much faster than it grows deposits, and deposits are the scarcest commodity in Indian banking right now because households have discovered mutual funds. Everything management is doing — the FCNR(B) push, the Bharat Banking rural deposit drive, the family banking proposition — is aimed at this single number.

WHY THE SECTOR LOOKS GOOD FROM HERE

Indian banking has spent two years being a bad place to own equity for a specific and now largely exhausted reason: the RBI cut the repo rate by more than 100 basis points into a system where a large share of loans reprice immediately and deposits reprice with a lag. Margins compressed across the board. That process is finished. Five things now point the other way.

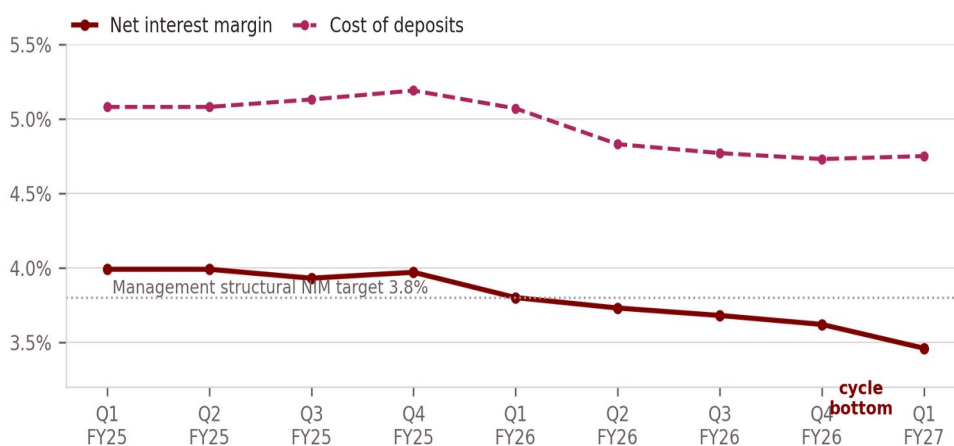
1. Credit demand is running well ahead of nominal GDP

The RBI projects FY27 GDP growth of 6.9% with inflation averaging 4.6%, implying nominal GDP of roughly 11.5%. System credit growth is expected around 15% in FY27 — a multiple of about 1.3x nominal GDP, which is the normal ratio for a financialising economy and is being supported by broad-based demand across secured retail, MSME, services and select corporate segments. Axis has guided to industry growth plus 300 basis points.

2. The rate cycle has stopped hurting and may start helping

The repo rate has been held at 5.25% across the February, April and June 2026 meetings with a neutral stance, and consensus expects another hold at the 3–5 August meeting. Meanwhile the deposit side is still repricing downward — Axis's cost of deposits fell 35 basis points year on year. The asymmetry is worth noting: if the RBI were to raise rates 25–50bp in the second half of FY27, as some houses expect, large private banks with 50–80% of loans on external benchmarks would see that flow through to asset yields almost immediately while deposit costs lagged. Margin risk from here is skewed upward.

Exhibit 1: Margins bottomed in Q1 FY27 while deposit costs had already turned



Source: Axis Bank Q1 FY27 investor presentation (18 Jul 2026); my own analysis. Q3/Q4 FY26 NIM interpolated between reported points. Data as of 30 Jun 2026.

3. Funding relief is arriving from outside the domestic deposit market

Roughly US\$50 billion of FCNR(B) deposit inflows are expected by September 2026, adding an estimated 1.8% to system deposit growth, with Axis named among the principal beneficiaries alongside HDFC Bank, SBI, ICICI Bank, Bank of Baroda and Federal Bank. For banks running credit-deposit ratios above 90%, this is the difference between rationing loan growth and funding it. The CRR reduction to 3.00% works in the same direction.

4. The credit cost cycle has turned

The unsecured retail and microfinance stress that dominated FY25 and FY26 has largely washed through. At Axis, the gross slippage ratio fell 134 basis points year on year to 1.79% and net credit cost fell from 1.38% to 0.63%. Provision coverage is 70%, or 161% including technical write-offs. The honest caveat is MSME: industry data

showed public sector banks' MSME 31–90-day past-due rising from 2.7% in March 2026 to 3.0% in April 2026, and this is the segment every private bank is growing into.

5. Valuations de-rated while book value kept compounding

The four large private banks trade at a median 16.5x earnings and 2.0x book. Axis sits below both. Across the sector, book value has compounded in the mid-teens through the margin squeeze because the squeeze hit the income statement, not the balance sheet. Investors have effectively been offered slower-growing multiples on a faster-growing book — which is the setup that usually precedes a re-rating, provided earnings actually inflect.

INVESTMENT THESIS

1. Three independent levers point at the same 300–400bp of ROE

Axis earned a 13.1% return on equity in FY26 against management's stated medium-term target of 16–18% and a return-on-assets target of 1.6–1.8%. The gap is not mysterious; it decomposes into three levers, each of which is separately observable.

- **Margin.** 3.46% today against a 3.8% structural target. I model 3.70% by FY28, not the full 3.8%. Each 10bp on a ₹19.5 trillion balance sheet is roughly ₹1,950 crore pre-tax.
- **Cost.** Cost-to-assets at 2.20%, down 21bp year on year and 8bp sequentially, guided lower over 18–24 months. A move to 2.00% releases about ₹3,900 crore pre-tax at current scale.
- **Credit cost.** 0.63% net, already normalised. The ₹1,231 crore one-time standard-asset provision on two discontinued crop-loan products is expected to be written back by FY28, and the bank carries ₹8,244 crore of aggregate other and one-time provisions — a 52 basis point cushion over reported capital adequacy that does not appear in the reported ratio.

None of these requires new capital. CET1 is 14.64% and management has stated plainly that it does not need equity for either growth or protection. That matters more than it sounds: the entire valuation case is a book-value compounding case, and compounding only works if it is not interrupted by dilution.

2. The payments franchise is the part of the moat the market undervalues

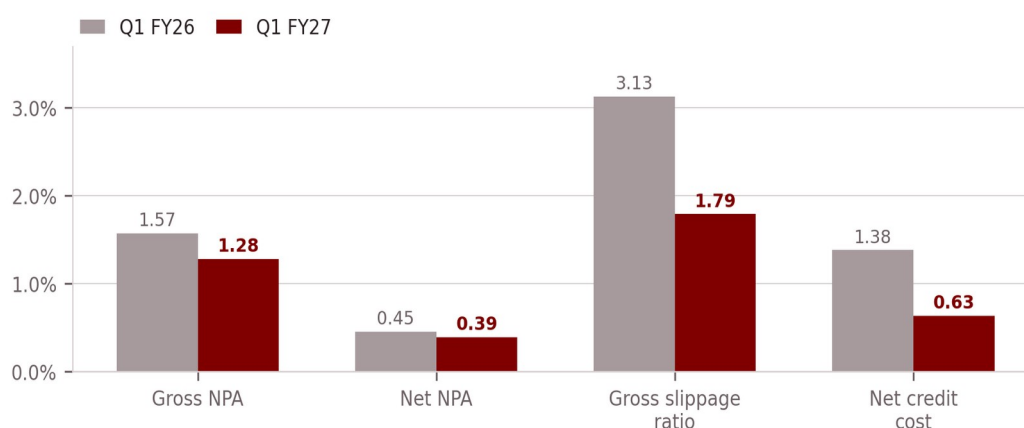
Axis processes roughly 38% of UPI payer-PSP volume — it is the bank sitting underneath a large share of third-party payment apps — with a technical decline rate of 0.01%, the lowest in the system. Payer-PSP share is not won with capital; it is won with uptime, and uptime is an engineering asset accumulated over years of investment. Every transaction routed through those rails is float, data and a merchant relationship the bank did not have to acquire with branch capital.

Around it sits a genuine consumer payments position: fourth-largest card issuer in India, 13.4% of cards in force, 0.9 million cards added in the quarter, and over 12 million non-Axis customers using the Axis Mobile app, which is rated 4.8 on both app stores with more than 16 million monthly active users. Digital channels now carry 98% of transactions, 92% of credit card issuance and 66% of new savings account acquisition.

3. Asset quality is not the risk it was in the last cycle

It is worth remembering what happened to this company: Axis earned a 1% return on equity in FY18 as the corporate credit cycle turned. The current book is built differently. Gross NPAs are 1.28% against 1.57% a year ago, net NPAs 0.39%, and 91% of the corporate book is rated A– or better. The corporate growth that is driving the loan book is concentrated in highly-rated borrowers by design — which caps both the risk and the spread.

Exhibit 3: Every asset-quality line improved year on year — credit cost more than halved



Source: Axis Bank Q1 FY27 investor presentation (18 Jul 2026); my own analysis. Data as of 30 Jun 2026.

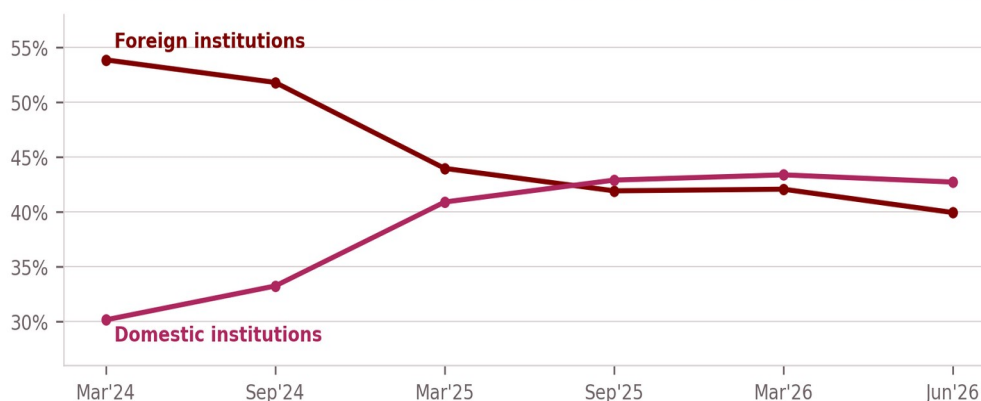
4. The subsidiaries are a free option the holding structure obscures

Axis AMC manages ₹3.69 trillion, Axis Securities has 7.19 million customers, Axis Finance runs ₹51,592 crore of AUM at 0.39% net NPA, and Axis Capital executed eleven transactions in the quarter. Combined subsidiary profit of ₹546 crore is only about 7% of group earnings, but it is earned on a small carrying value — a roughly 41% return on the bank's investment — and it grows with financialisation rather than with the loan book. Consolidated ROE was 14.52% in Q1 FY27, of which subsidiaries contributed 36 basis points.

5. The ownership shift is a technical headwind that eventually becomes a tailwind

Foreign institutional ownership has fallen from 53.8% in March 2024 to 39.9% in June 2026 — fourteen percentage points of the register turned over in two years, absorbed almost entirely by domestic institutions, which now hold 42.7%. That selling has been a persistent drag on the multiple. It is also, mechanically, a self-limiting one: the further foreign ownership falls, the smaller the remaining supply. Domestic institutional demand from SIP flows is structurally growing. I do not build this into the target, but I note that the marginal seller and the marginal buyer are converging.

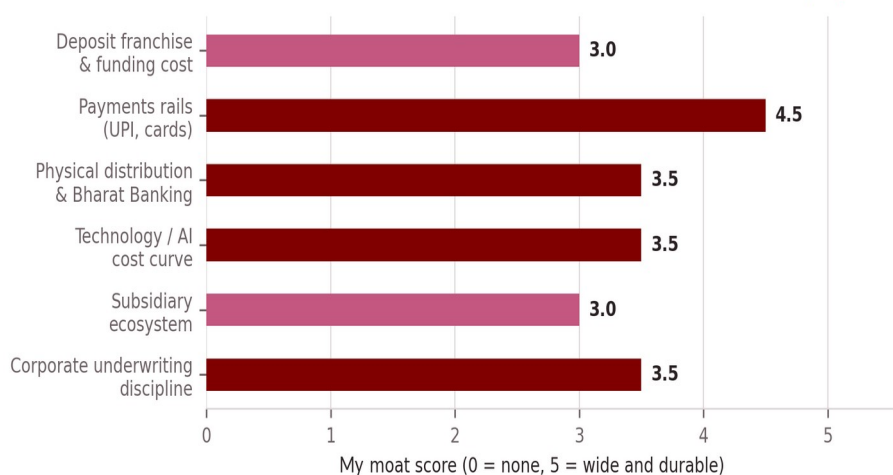
Exhibit 9: Foreign ownership has fallen 14 points in two years — domestic money absorbed it



Source: Screener.in shareholding pattern (consolidated filings). Data as of 30 Jun 2026.

THE MOAT: WHAT ACTUALLY PROTECTS THE RETURNS

Banking is a commodity business wrapped in a licence. Any bank with capital can buy assets; what it cannot easily buy is cheap, sticky liabilities and ownership of the transaction rails that make customers hard to move. I score Axis on six moat sources and reach a clear conclusion: this is a narrow moat, not a wide one, and knowing which parts are strong tells you exactly what to monitor.

Exhibit 7: The moat is real but narrow — it lives in the payment rails, not the deposit base

Source: my own moat framework, scored against Q1 FY27 disclosures. Data as of 30 Jun 2026.

Moat source	Score	Why I score it there
Payments rails	4.5	~38% UPI payer-PSP volume share at 0.01% technical declines — the lowest in the system; 13.4% of cards in force; 12mn+ non-customers on the app. Won on engineering reliability, not capital. Negative marginal cost, genuine switching friction.
Corporate underwriting	3.5	91% of the corporate book rated A– or better, 69% AA– and above, 87% of incremental sanctions A– and above. Caps the tail risk that destroyed the equity story in FY17–FY20. Discipline is a moat when the alternative is a credit cycle.
Physical distribution	3.5	6,295 branches, 54mn customers, a licensed and capital-intensive asset a new entrant cannot buy. But HDFC Bank has 8,735 and ICICI 6,524 — table stakes among the big four, not differentiation.
Technology cost curve	3.5	Cost-to-assets 2.20% and falling; 98% digital transactions; AXIOM AI reading 34mn documents a quarter; first BFSI institution globally with ISO 42001. The most credible emerging moat — a structural cost edge does not require winning a deposit price war.
Subsidiary ecosystem	3.0	₹3.69trn AMC AUM, 7.19mn broking customers, Burgundy wealth, Axis Finance at 21% AUM growth. ~41% return on investment, but small relative to ICICI's or Kotak's. A supporting moat, not a defining one.
Deposit franchise	3.0	The weak link. CASA at 37% (quarterly average) against Kotak's ~48%. Growth led by term deposits (+21%) versus current accounts (+13%) and savings (+14%). Term money is rented; CASA is owned. CD ratio at 92% leaves no slack.

Source: my own moat framework applied to Axis Bank Q1 FY27 investor presentation (18 July 2026) and peer disclosures. Scores are 0 (no moat) to 5 (wide and durable) and are my judgement, not an external rating.

The conclusion this leads to

Axis has enough moat to defend a mid-teens return on equity indefinitely. It does not, today, have enough moat to defend the high-teens return that ICICI Bank currently earns, and the reason is precise: ICICI has a better deposit franchise and deeper cross-sell, and deposits are where the value in Indian banking is being created right now. This is why Axis trades at 1.72x book and ICICI at 2.73x. That gap is earned, not an anomaly — and any thesis that treats it as a simple mispricing is skipping the work.

The investable question is narrower and more answerable: is the gap wider than the difference in franchise quality justifies? At a 37% discount on price-to-book for a roughly 240 basis point difference in implied return on equity, I think it is modestly wider than justified — but only modestly. So I am happy to own it — but not to make it a large position.

FINANCIAL SUMMARY

₹ crore, consolidated	FY24A	FY25A	FY26A	FY27E	FY28E
Interest earned	112,759	127,374	132,538	152,000	173,000
Other income	25,230	28,543	29,674	33,500	38,000
Net profit	26,492	28,191	26,548	32,200	38,500
growth %	—	6.4	(5.8)	21.3	19.6
EPS (₹)	85.5	90.6	84.9	103.5	123.5
Book value / share (₹)	509	605	691	793	914
Return on equity (%)	18.0	16.0	13.1	13.9	14.5
Return on assets (%)	1.85	1.78	1.47	1.55	1.60
Deposits	1,067,102	1,170,921	1,333,791	1,560,000	1,795,000
Total assets	1,518,239	1,656,963	1,946,050	2,238,000	2,574,000
P/E (x)	14.3	13.5	14.4	11.8	9.9
P/B (x)	2.41	2.02	1.77	1.54	1.34

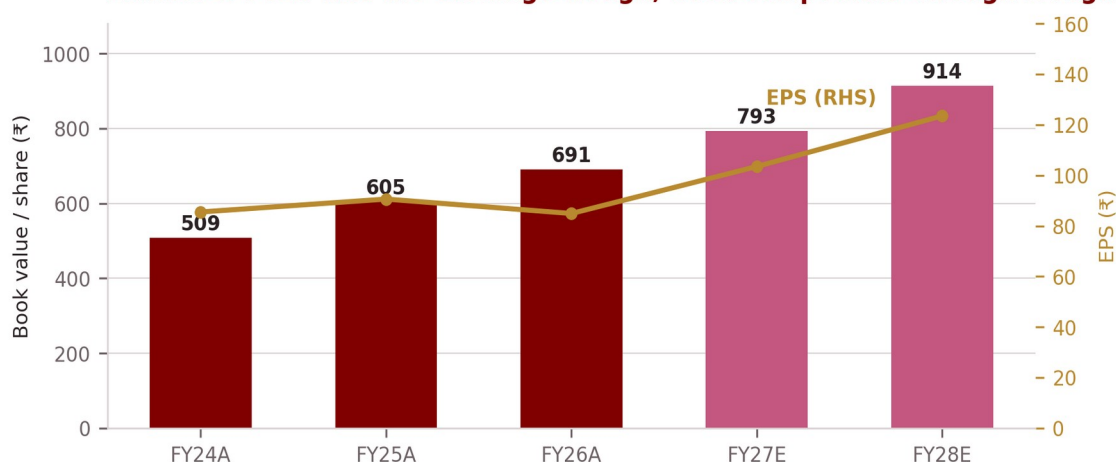
Source: Screener.in consolidated financials for FY24–FY26; my own estimates for FY27E and FY28E. Multiples on a price of ₹1,225 (May 2026). Book value per share derived as (equity capital + reserves) ÷ shares outstanding of 311.2 crore. FY26 net profit is depressed by a ₹1,231 crore one-time standard-asset provision on discontinued crop-loan products, expected to reverse by FY28.

Two features of this table drive the whole note. First, FY26 is a trough year, not a trend — profit fell 5.8% in a year when deposits grew 14% and assets grew 17%, because margin compression and a one-time provision landed together. Second, book value per share compounded from ₹509 to ₹691 across the same three years, a 16.5% annual rate, entirely uninterrupted by the earnings weakness. If you believe the earnings trough is a trough, you are buying a mid-teens book compounder at 1.72x.

Key operating ratios, Q1 FY27

Ratio	Q1 FY26	Q1 FY27	Ratio	Q1 FY26	Q1 FY27	Comment
Net interest margin	3.80%	3.46%	Gross NPA	1.57%	1.28%	Margin trough; quality improving
Cost of deposits	5.07%	4.75%	Net NPA	0.45%	0.39%	Funding cost already turned
Cost to assets	2.41%	2.20%	Credit cost (net)	1.38%	0.63%	Both levers moving favourably
CASA (avg. balance)	—	37%	Provision coverage	—	70%	CASA is the weak spot
CET1	—	14.64%	Capital adequacy	—	16.67%	No equity raise required

Source: Axis Bank Q1 FY27 investor presentation and press release, 18 July 2026. Cost of deposits on a quarterly average balance basis.

Exhibit 4: FY26 was the earnings trough; book compounds through it regardless

Source: Screener.in consolidated financials; my own estimates for FY27E-FY28E. Data as of 31 Mar 2026 actuals.

VALUATION

Method

Discounted cash flow is not a meaningful tool for a bank: debt is raw material, not financing, so free cash flow has no clean definition. I value Axis three ways — an excess-return (residual income) model, a justified price-to-book derived from sustainable return on equity, and peer-relative multiples — and I weight the justified price-to-book most heavily because it is the framework the market actually uses to price Indian banks. I then apply a deliberate haircut for execution risk on the margin recovery.

Cost of equity

Input	Value	Basis
Risk-free rate	6.81%	India 10-year G-Sec, May 2026
Equity risk premium	5.50%	House assumption for India
Beta vs Nifty 50	1.10	House assumption, 5-year monthly
Cost of equity	12.9%	6.81% + 1.10 × 5.50%

Source: Trading Economics for the 10-year G-Sec yield (May 2026); my own inputs for the equity risk premium and beta, both of which are my own assumptions and not externally sourced.

The three approaches, and where they disagree

This is the part of the note that matters most, because the approaches do not agree and the disagreement is informative rather than a defect to be smoothed over.

- **Excess-return model: ₹1,051.** Discounting five years of residual income (earnings less a 12.9% charge on opening book) plus a terminal value growing at 6%, starting from FY26 book of ₹691, gives ₹1,051 — fourteen percent below the current price. The terminal value is 26% of the total, which is comfortably low. This model says Axis is already fully priced, because a 14.5% return on equity against a 12.9% cost of equity is a spread of only 160 basis points.
- **Justified price-to-book: ₹1,466.** Using the Gordon form, $(ROE - g) \div (CoE - g)$ with a sustainable ROE of 15.0%, growth of 10.0% and cost of equity of 12.9%, gives 1.72x. Applied to my one-year-forward book value of ₹850 (August 2027), that is ₹1,466.
- **Peer-relative: ₹1,717.** The median large private bank trades at 2.02x book. Axis at the median would be ₹1,717 on forward book — but I do not think Axis deserves the median while it earns a below-median return on equity, so I treat this as an upper bound rather than a target.

The gap between the first two numbers is the whole argument. The excess-return model makes Axis prove the recovery year by year and then fades the spread; the justified price-to-book assumes the normalised 15.0% return

is earned immediately and forever. Neither is right. ₹1,051 is what Axis is worth if the recovery stalls; ₹1,466 is what it is worth once the recovery is visibly done.

My target: ₹1,360

I set the target at 1.60x my one-year-forward book value per share of ₹850 — a deliberate 7% discount to the 1.72x my own model justifies, to reflect that the margin recovery is a management assertion rather than a delivered result. This is the single most important construction detail in the note, and it is also where I differ from the street. The published targets of ₹1,500–₹1,663 are generally built by applying a multiple of about 1.7x to FY28 estimated book value — a book value roughly twenty months forward — without discounting it back. Applying the same 1.7x to a book value twelve months forward, as a twelve-month target should, produces ₹1,445. Haircut that for execution risk and you arrive where I am.

Scenario	What changes	FY28E EPS (₹)	Sustainable ROE	Value / share
Bear (25%)	NIM stalls at 3.55%; costs flat at 2.20%; credit cost to 0.90%	104	13.0%	₹800
Base (50%)	NIM 3.70%; cost-to-assets 2.05%; credit cost 0.65%	124	15.0%	₹1,360
Bull (25%)	NIM 3.80% achieved; costs to 1.95%; retail mix recovers	138	16.5%	₹1,843

Source: my own analysis. Probability weights are my judgement. Probability-weighted value ₹1,341, consistent with my ₹1,360 target within rounding.

Sensitivity: value per share at varying cost of equity and sustainable ROE

Cost of equity ↓ / ROE →	14.0%	14.5%	15.0%	15.5%	16.0%
11.9%	1,790	2,013	2,237	2,461	2,684
12.4%	1,417	1,594	1,771	1,948	2,125
12.9% (base)	1,172	1,319	1,466	1,612	1,759
13.4%	1,000	1,125	1,250	1,375	1,500
13.9%	872	981	1,090	1,198	1,308

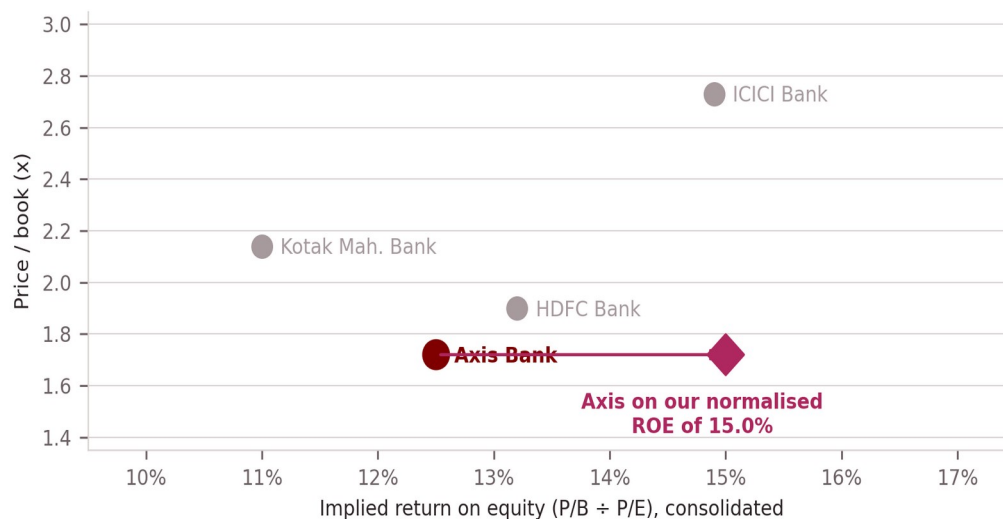
Source: my own analysis. Justified P/B = $(ROE - g) \div (CoE - g)$ with terminal growth g held at 10.0%, applied to one-year-forward book value of ₹850. The base cell of ₹1,466 is the unhaircut justified value; my ₹1,360 target applies a 7% execution-risk discount. Note that this form is hypersensitive when the cost-of-equity-minus-growth spread is small — the top row is arithmetically correct and economically implausible, and should be read as a warning about the method rather than a bull case.

Peer comparison

Bank	Mkt cap (₹ cr)	Price (₹)	P/E (x)	P/B (x)	Implied ROE (P/B ÷ P/E)
HDFC Bank	11,52,536	748	14.6	1.90	13.2%
ICICI Bank	10,29,986	1,435	18.4	2.73	14.9%
Kotak Mah. Bank	3,88,246	390	19.4	2.14	11.0%
Axis Bank	3,82,542	1,230	13.8	1.72	12.5%
Median (large private)	—	—	16.5	2.02	12.9%
SBI (reference)	9,48,354	1,027	11.4	n.a.	n.a.

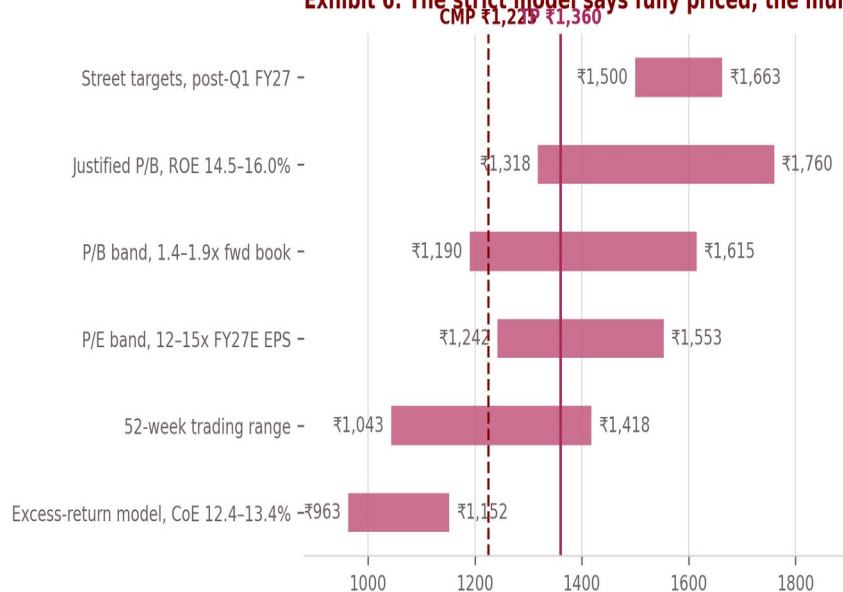
Source: Screener.in banking industry screen and company pages, May 2026, consolidated basis. Implied ROE is derived as price-to-book divided by price-to-earnings and will differ from reported standalone ROE — ICICI Bank's standalone return on equity is materially higher than the consolidated figure shown here, because consolidation brings in lower-return insurance subsidiaries. SBI book value not sourced on a comparable consolidated basis and is therefore not shown.

Exhibit 5: Axis has the lowest P/B of the big four — and, today, the ROE to match



Source: Screener.in (CMP, P/E, book value); implied ROE derived as $P/B \div P/E$; my own analysis. Data as of May 2026.

Exhibit 6: The strict model says fully priced; the multiple frameworks say there is room



Source: my own estimates; Screener.in for 52-week range; broker targets per Business Standard (20 Jul 2026) and Business Today (8 and 19 Jul 2026). Data as of May 2026.

Exhibit 8: The spread over cost of equity is positive but thin — that is the whole debate



Source: Screener.in for FY24–FY26 actuals; my own estimates and CAPM build. Data as of May 2026.

RISKS

Ordered by materiality to my thesis. For each, I state the mechanism and what would make me change my view.

- **The margin recovery does not happen.** This is the thesis, so it is also the risk. If NIM does not clear 3.6% through FY27 — because deposit competition stays intense or the corporate mix shift continues — my FY28 earnings fall roughly 10% and fair value moves toward the ₹1,050 my excess-return model produces. I would cut back on two consecutive quarters without sequential NIM improvement.
- **Growth mix is flattering the volume line.** Corporate lending grew 38% year on year against retail at 8%. Highly-rated corporate paper is thin-margin business, so the very growth that looks good on the advances chart is part of why the margin chart looks bad. If retail growth does not reaccelerate into double digits by Q3 FY27, the margin target becomes arithmetically much harder.
- **The credit-deposit ratio caps everything.** At 92%, Axis cannot outgrow its deposit franchise. If the expected FCNR(B) inflows disappoint — they are a forecast, not a commitment — the bank has to choose between slowing loan growth and paying up for deposits. Either choice damages the thesis.
- **MSME asset quality in a segment everyone is crowding into.** Focus segments grew 18% and SME 25%. Industry data already shows MSME past-due rising at public sector banks. A single bad vintage in this book would cost more than the current 0.63% credit cost implies, because the segment is being underwritten during an expansion, which is when underwriting is always loosest.
- **Operational and regulatory tail risk.** The ₹1,231 crore standard-asset provision on two discontinued crop-loan products arose from an RBI annual inspection, not from the bank's own detection. That is a governance signal worth weighting. Management expects the provision to reverse by FY28, but the underlying point — that supervisory findings can arrive without warning — stands.
- **Persistent foreign selling.** Foreign ownership fell from 53.8% to 39.9% in two years. Domestic institutions have absorbed it so far. If domestic flows slow while foreign selling continues, the multiple can stay compressed for longer than the fundamentals justify — a real cost to a thesis whose returns depend on time.
- **Macro: oil and the rupee.** The current environment includes elevated crude prices and an unsettled geopolitical backdrop, which is why the 10-year G-Sec sits at 6.81% and why some houses expect rate hikes rather than cuts. A sharp rupee move that forces defensive tightening would hurt both asset quality and the valuation multiple simultaneously.

WHAT WOULD MAKE ME ADD MORE

Two consecutive quarters of sequential NIM expansion with retail loan growth returning to double digits, or evidence that cost-to-assets is heading below 2.05% faster than guided. Either would take my sustainable ROE assumption to 16%, which on the same framework supports a value above ₹1,750.